Two, now let's look at slice-of-time returns because this broad-sweep data hides individual stories of an investor buying an Infosys and another buying Satyam. It hides the stories of an investor buying in Gurgaon and another in Faridabad. The broad-sweep data will not talk to anybody who was in the market to buy a flat between 2003 and 2008 and lived through one of the biggest price reratings of urban housing in India.

I remember I was, and the price of the flat that cost Rs 30 lakhs in the beginning of 2003 kept rising every few weeks. Finally, it settled at about Rs 2 crores by late 2008 – a breathtaking 46 per cent compounded annual growth rate over five years. And there was a year in which prices doubled in Delhi real estate. But this is exactly the same as timing the equity market.

Those who bought real estate between 2003 and 2006 got lucky (and it really wasn't that they knew that Alan Greenspan was keeping rates low and flooding the world with cheap money!). As did equity investors over that period. Sensex returns over 2003 to 2008 stand at around 35 per cent. Again there was a year from mid-2009 to 2010 when the market doubled! Both real estate and the Sensex returned 20 per cent a year from 2003 to 2014.

Remember these numbers do not take into account transaction costs, taxes, cost of maintenance of the investment or inflation. Gold returns, for example, are overstated since most people buy jewellery and much of the return goes to the jeweller through making charges. Fixed deposit returns turn negative due to taxes and inflation.

The only two assets to give a positive return post tax and inflation are real estate and equity. But include costs like stamp duty and registration, the cost of fixing the house for a tenant – and the returns from real estate begin to look less attractive. I'm not even including the soul-crushing experience of buying real estate in India – right from the ride that property agents take you on to the black money–lined road to real estate.

Rules of equity investing

Equity investing has its own rules and unless you follow them, you will lose. One, ***when investing in the stock market, give it the same patience you give real***